ICT MENTORSHIP CORE CONTENT

ESSENTIALS TO ICT MARKET STRUCTURE

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This module focuses on the essentials of market structure, aimed at educating traders on determining trade direction. It addresses common inquiries regarding trade direction, providing further amplification on the concepts used in identifying market bias.

PRIMARY OBJECTIVE: UNDERSTANDING YOUR TRADING TIMEFRAME

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As a Forex trader, your primary function is to navigate price across various timeframes (monthly, weekly, daily, four-hour, one-hour, fifteen-minute, five-minute, one-minute, tick charts). This can be daunting for new traders without a uniform, structured approach to breaking down price.

- Your primary objective is to know your trading timeframe.

- This relates to your trading style: position, swing, short-term, day trader, or scalper.

- The module will speak in general terms, providing insight to determine your optimal trading focus.

Traders evolve and may become multi-timeframe based. ICT considers himself a dynamic trader, capable of trading any timeframe, but excels in short-term to swing trading.

- Advice for new traders: Start with short-term to day trading.

- This provides immediate feedback and builds confidence in sticking to a plan.

- Position and swing trading setups materialize less frequently, making it harder for new traders to wait.

- Scalping can utilize these concepts, but short-term and day trades are recommended for beginners due to immediate feedback.

PROFESSIONAL PERSPECTIVE ON TIMEFRAMES FOR DIFFERENT TRADER TYPES

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Market structure analysis is applied using specific timeframes depending on the trade duration and style.

- Position Trades:

  - Duration: Three to six months, up to a year.

  - Timeframes: Monthly (highest), Weekly (mid-level), Daily (short-term).

- Premise: Monthly chart determines the trade premise (e.g., overbought conditions leading to a topping formation).

  - Market structure breakdown on Weekly and Daily facilitates short positions.

- Swing Trades:

  - Duration: About a week or more.

  - Timeframes: Daily (highest/trade premise), Four-Hour (mid-level/management), One-Hour (timing/entry).

  - Setup: Built upon the Daily chart's market structure, framing swing trades.

  - Management: Trades are managed on the Four-Hour chart.

- Timing: Entry signals derived from the One-Hour chart after studying Daily and Four-Hour market structure.

- Short-Term Trades:

  - Duration: One day to a week.

- Timeframes: Four-Hour (trade premise/directional bias), One-Hour (mid-level/trade management), Fifteen-Minute (timing for entry and early reversal signs).

- Day Trades:

  - Duration: Intraday.

  - Timeframes: One-Hour (highest/trade premise), Fifteen-Minute (trade management), Five-Minute (entry).

  - Note: Five-Minute charts can also be used for entry on short-term, swing, and position trades.

- General Framework: Always use three timeframes across the spectrum of your trading to break down market structure for each trading model. This provides the building blocks for determining directional bias.

The keys to effective multiple timeframe market structure analysis are simple:

- Focus: Should be on the highest of the three timeframes, which provides the directional bias (trade premise).

- Management: Trades are managed by the highest or mid-level timeframes.

- Example: For swing trades, the Daily provides the premise, the Four-Hour manages, and the One-Hour times entries.

- Entry Signals: Derived from studying market structure on the higher timeframes, with the shortest timeframe facilitating the specific entry point.

- Highest Probability Trades: Made in the higher timeframe direction.

While a higher timeframe premise may be bullish, approaching a key resistance level can trump that bias.

- Core Essential: Support and Resistance trumps everything else.

- Without understanding key support and resistance levels, a directional bias cannot be established, regardless of the trading model.

- Your highest timeframe for your specific model should draw attention to key support and resistance levels. Daily and Weekly S/R are always helpful as a 'catch-all'.

- Market profiles (trending, reversal, consolidation) also assist in market structure analysis and measuring current market structure.

UNDERSTANDING MARKET STRUCTURE: BULLISH REVERSAL EXAMPLE

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When we speak of market structure, we're referring to discernible patterns in price action. Let's consider a bullish scenario with a potential reversal:

- Price rallies into a major resistance level on your higher timeframe.

- Price never moves in a straight line; expect consolidations followed by moves up.

- As price reaches the resistance, anticipate a reversal.

- Market structure breakdown: When price starts to decline and takes out a short-term swing low on the highest timeframe, this is a 'market structure shift' and a catalyst for an optimal trade entry (e.g., a short position).

- Example: Monthly chart hits key resistance, takes out a short-term low, indicating a market structure break.

ANTICIPATING PRICE ACTION AND THE 'GRAY AREA'

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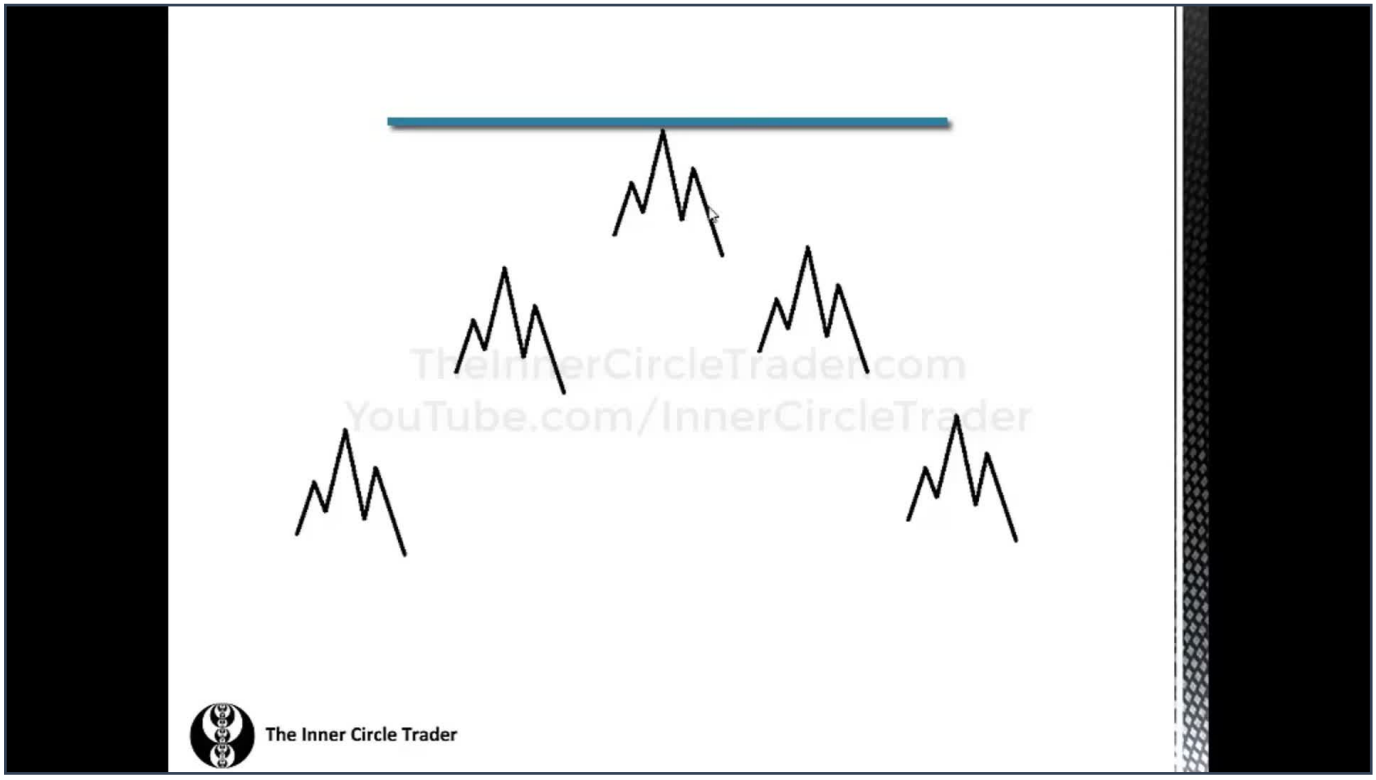

Trading involves anticipating events, not knowing the future. When a market structure shift occurs (e.g., a short-term low taken out on the monthly chart):

- You anticipate future price action, but you cannot deal with it until it unfolds.

- If price rallies into a perceived resistance, expect a retracement.

- Zoom in on a mid-level timeframe (e.g., Weekly) to find more granular price levels.

- Further zoom into a shorter timeframe (e.g., Daily) to find optimal trade entries or sell patterns, creating 'nesting confluences' of resistance.

- This top-down approach allows positioning in sync with market structure.

- The 'gray area' exists between your entry point and expected target; you must be comfortable with not knowing exactly what price will do in between.

BUILDING BLOCKS OF MARKET STRUCTURE: BULLISH SCENARIO

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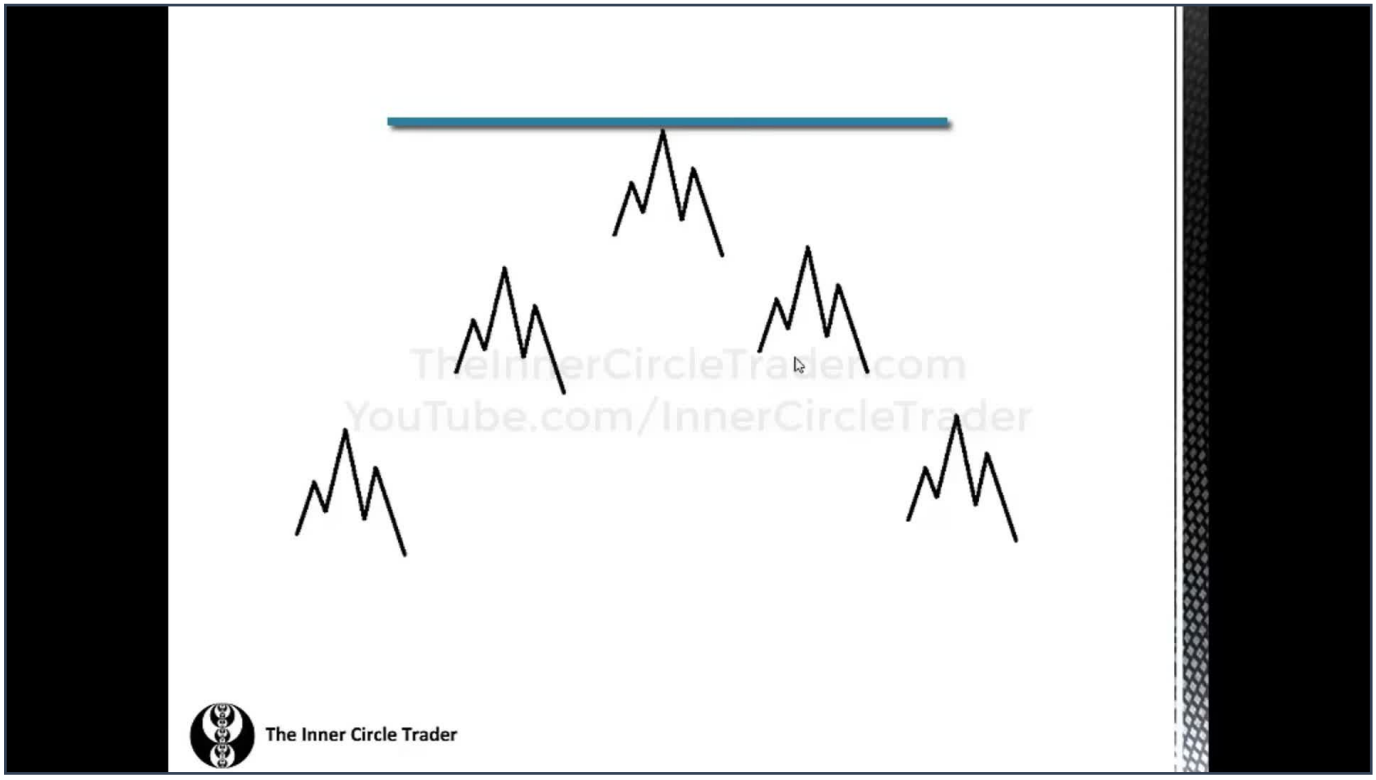


Market structure is built upon price rallies and declines.

- In a bullish scenario, after finding support, price rallies up.

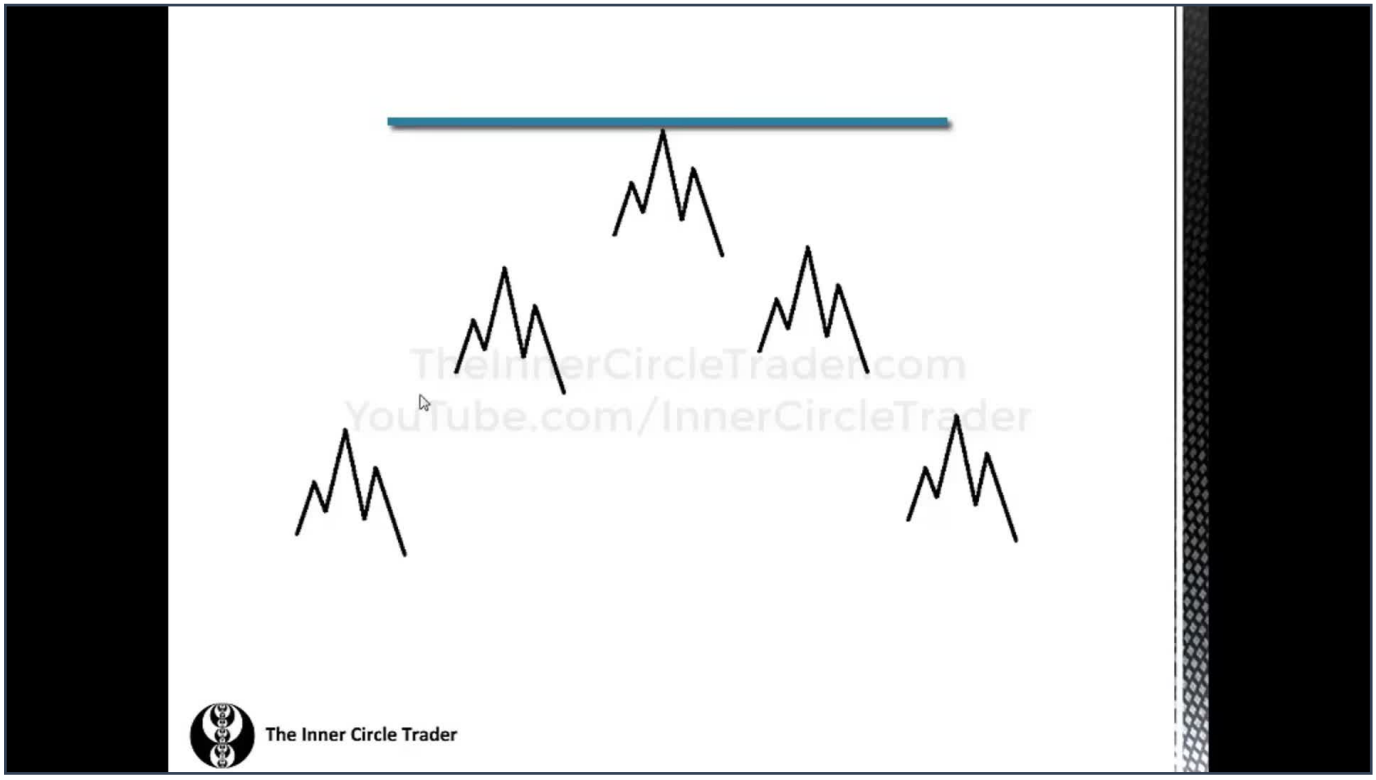
- Utilize mid-level and shorter-term timeframes to see bullishness.

- Look for support being held and resistance being broken.

- Every retracement offers opportunities for 'optimal trade entries' (OTEs) or 'reflection' patterns to buy.

- Price finds support and breaks resistance, forming the simple framework of bullish market structure.

MARKET STRUCTURE BREAKDOWN AND SWING PROJECTIONS (BULLISH EXAMPLE)



As price rallies into resistance, if it starts to break down:

- Be comfortable with price blowing out previous lows; a dip can offer another long opportunity if the higher timeframe premise remains bullish.

- Identify higher-level key resistance levels in advance through top-down analysis.

- If price rallies and consolidates, and maintains support while breaking short-term highs, market structure implies a continuation.

- Measured moves: A leg from a previous low to a high can be duplicated from a retracement low to project the next high.

- Consolidations are crucial for studying dynamic support/resistance levels, as they are often more easily tradable with discernible price levels.

BEARISH MARKET STRUCTURE AND MARKET MAKER PROFILES

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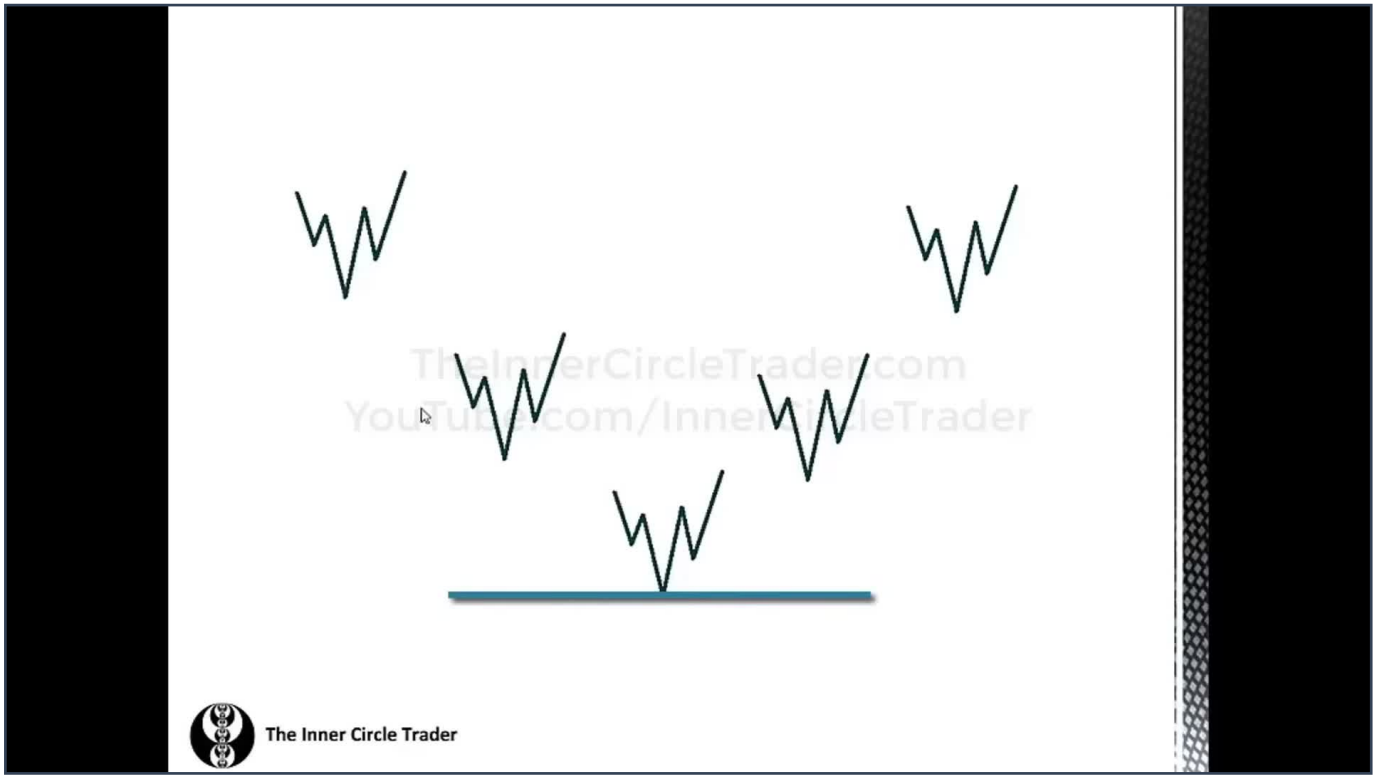

In a bearish decline:

- Price declines materialize with distinct lows forming within consolidations.

- Within every swing low, discernible optimal trade entries (OTEs) or 'reflection' patterns (fractal patterns) will appear.

- Apply these concepts with a higher-level key support level as a catalyst.

- As price moves from consolidation to consolidation, reaching for a higher-level support, a measured move can be projected (e.g., from a high to a low, duplicated from a retracement high).

- This fragmented diagram, when viewed through the lens of 'market maker profiles', illustrates price being engineered lower to a support level before trading higher.

NAVIGATING THE GRAY AREA: MARKET STRUCTURE SHIFTS AND PROFIT TAKING

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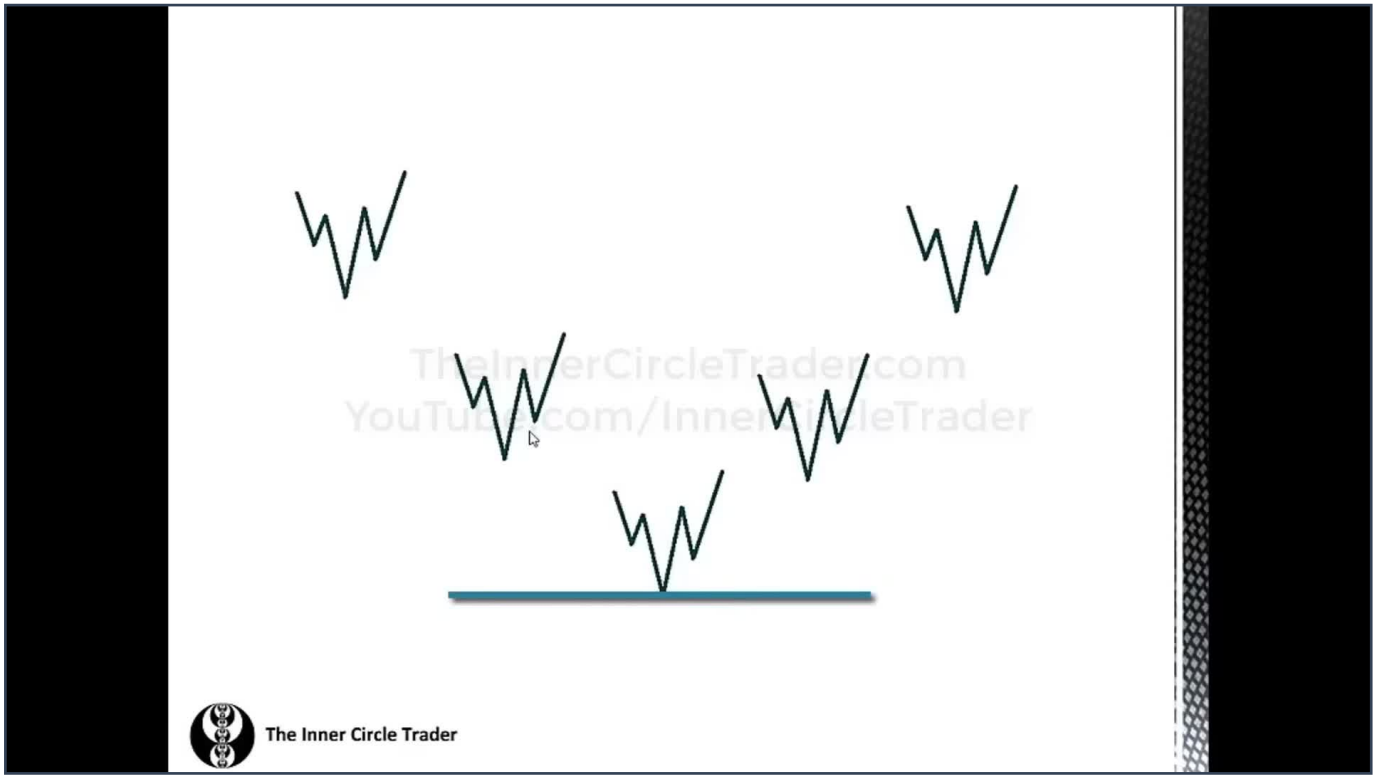

Embrace the 'gray area' of trading; don't expect simple black-and-white outcomes.

- In a bearish consolidation, price moves down, breaking short-term market structure (shift) to reach a support level (assuming this is the highest timeframe).

- A market structure shift here anticipates a bullish move. However, a new consolidation might not always lead to higher prices; it could be reaching up to trade within a previous range (e.g., from an old high to a low).

- Profit taking: If going long at a support level, expect profit-taking at intermediate resistance levels, confirmable with your mid-level chart for swing projections.

- During a decline, anticipate market structure to break lows, find resistance, break more lows, find more resistance. Each new consolidation, when expecting price to reach a higher-level support, requires analysis on the highest timeframe.

- Early market shifts can signal different trade types, like a short-term long within a larger bearish trend to capture intra-range profits before the ultimate target is met.

- Blend 'inside the range' concepts with lower lows and lower highs. A short-term bounce within a range can create an OTE for continuation of the larger trend.

MEASURED SWINGS AND LEGS IN BEARISH CONTEXT

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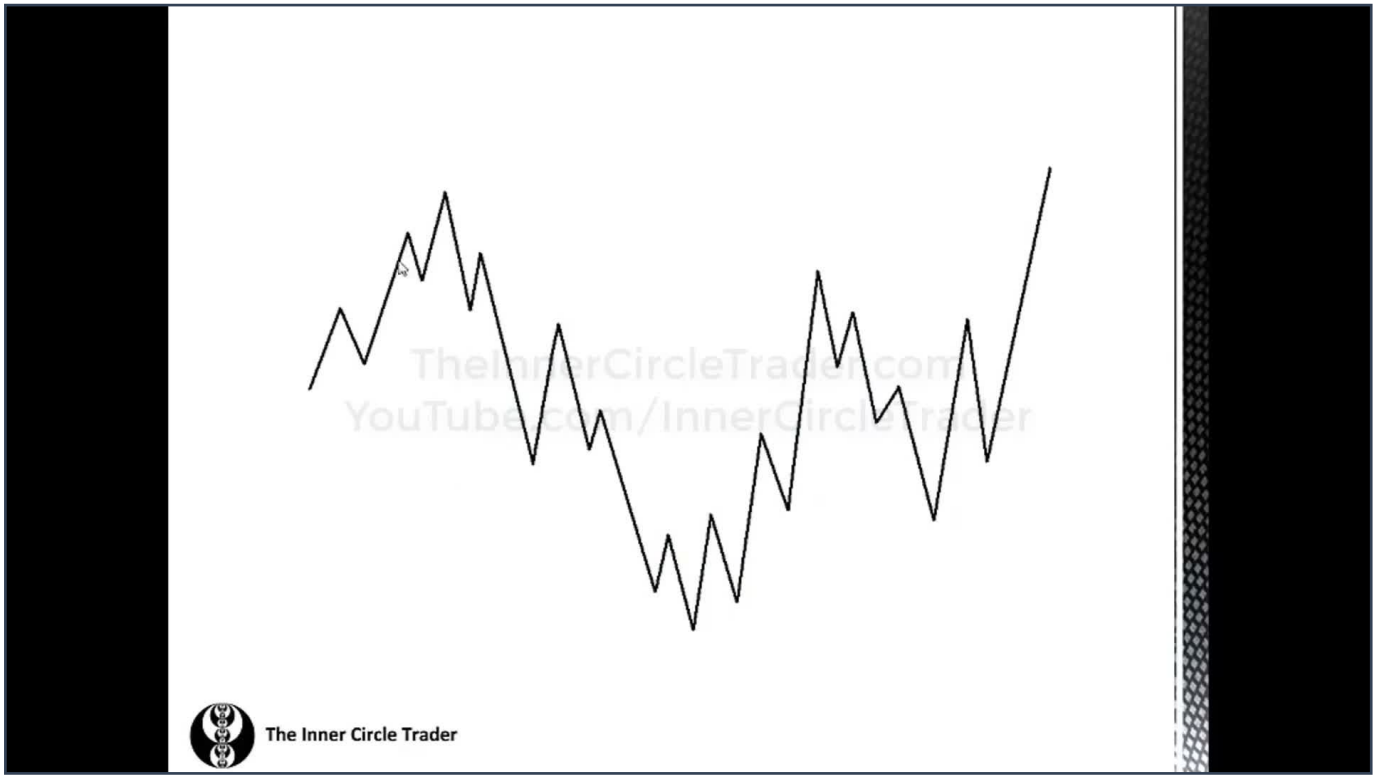


When market structure breaks down:

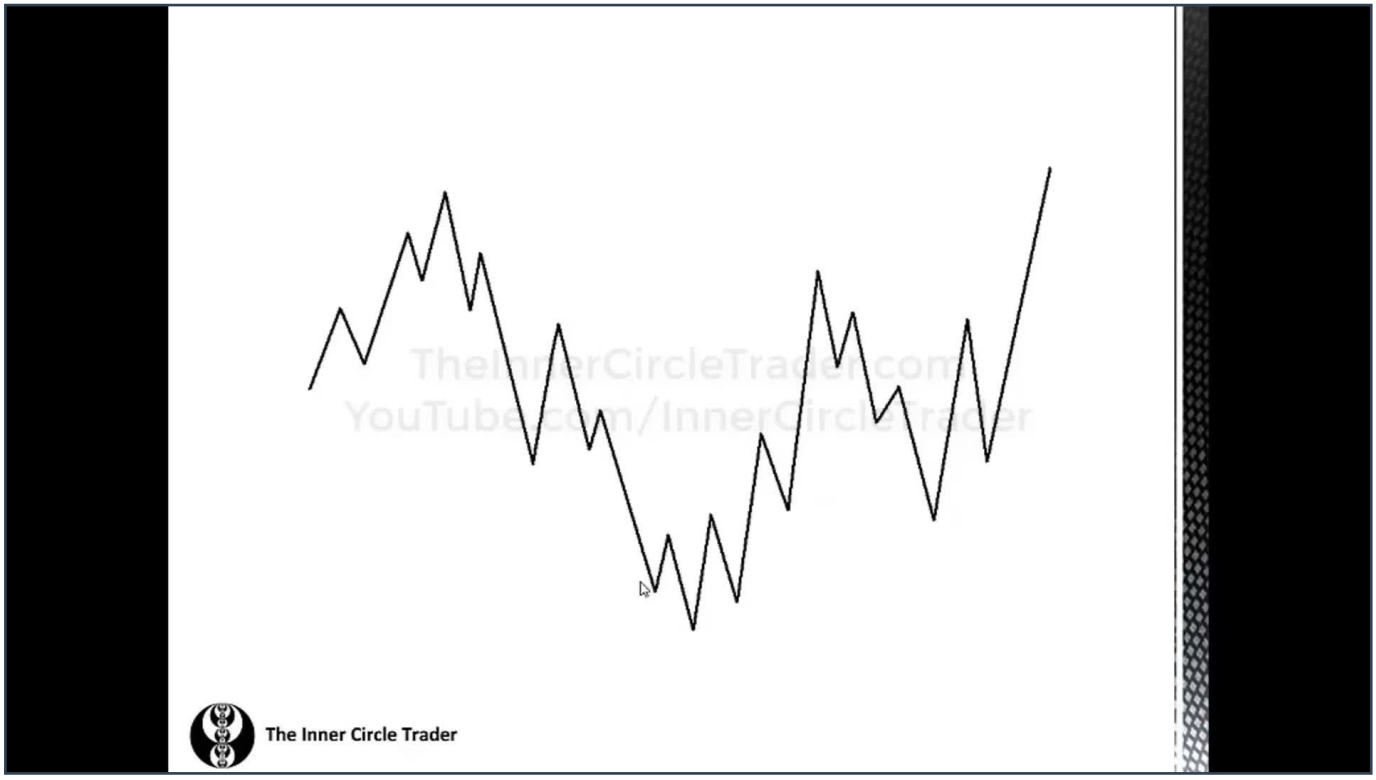
- Once a short-term low is broken, and price retraces, look for new selling opportunities.

- Swing projections: After a previous swing high to low is broken, take that measurable swing and project it lower from the retracement high.

- Be aware that support/resistance can be 'gray', allowing for deeper pullbacks that still set up optimal trade entries within the overall bearish market structure.

- Every short-term retracement can be a catalyst for additional entries using the smallest timeframe, modeled off the highest timeframe's direction.

- Mid-level charts are used for additional entries or managing positions once the highest timeframe's swing low is broken.



Price action exhibits measured leg moves:

- A 'measured swing' (e.g., low to high) can be projected, and a 'measured leg' (e.g., high to low) can also be projected.

- Blending concepts: A broken swing within a bearish market structure, followed by a retracement into previous broken support (now resistance), sets up a new leg down.

- Intermediate Term High: A high with lower highs on either side.

- Intermediate Term Low: A low with higher lows on either side.

- Identifying these on your charts (e.g., with circles, stars, arrows) is crucial.

- Nesting these patterns can classify 'long term highs' (lower highs on either side) or 'long term lows', enabling expectations for longer-term price swings.

- An intermediate term price leg (high to low) followed by an intermediate term retracement, implies the next leg down will replicate the previous leg's range.

The framework of your market structure is derived from a top-down approach:

- Highest Level Timeframe: Provides the overall framework or basis of your trade (e.g., bullish market structure identified by broken short-term highs after trading off a higher-level support).

- Mid-Level Timeframe: Used to 'zero down' and find key support and resistance levels not discernible on the highest timeframe. This level's S/R may converge with the highest level's, often overlapping with specific patterns.

- Lowest Level Timeframe: Used for entry. Once the bias is established (e.g., bullish), this timeframe facilitates precise entry.

A bullish bias, for example, means you are looking to buy, but it doesn't guarantee daily profitability or that other traders can't make money shorting that day. Every day, the bias is both directions for different traders.

- Your role: Decide on what you are trading based on your timeframe and trader profile (short-term, swing, position).

- You must align yourself with what price may be doing, rather than forcing it.

- Trading within Kill Zones: Entries should be planned during specific times (London Open, New York Open, London Close, Asia).

- Action Point: Identify a key support/resistance level where price is expected to reach within a kill zone. This is where you take action to buy (or sell), using limit or market orders, based on time and price theory.

The secret to trading is understanding that the bias is always both directions daily; traders make money both long and short. Your task is to:

- Decide your trading style and timeframe, then align your bias to that.

- Wait for price action to sync with your chosen bias and premise.

- Don't force price action; instead, get in sync with what it is doing.

- When your high-timeframe market structure is bullish, you have a respectable support level, and price trades to that level within a kill zone, you take action to buy.

- Use your chosen entry technique (Optimal Trade Entry, Reflection, Grail, Stinger, etc.) at the key support/resistance level, with the higher timeframe bias confirming the trade.

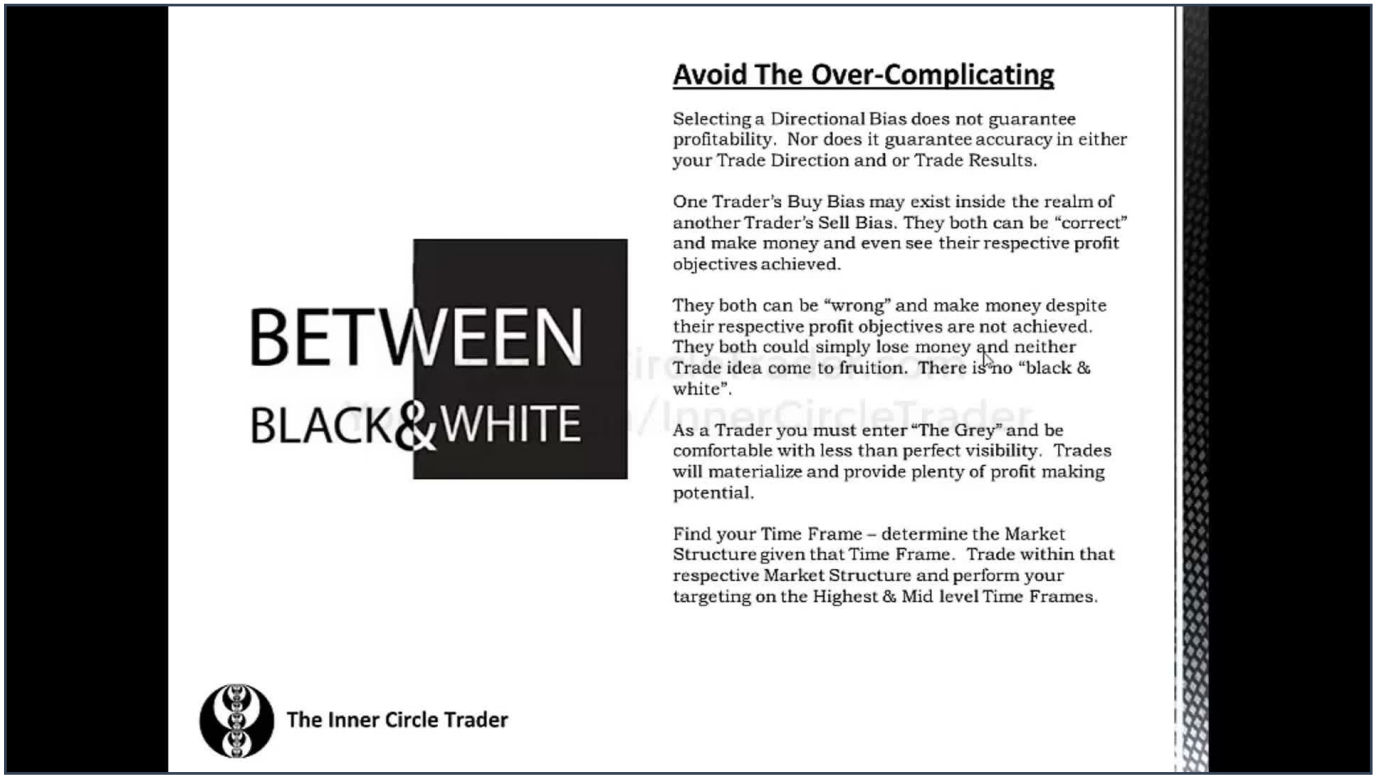
- This is your action plan. Do not engage in trades that do not fit your specific bias and timeframe, even if others are profitable in the opposite direction.

This approach aims to avoid over-complication, a common pitfall for new traders who try to force all tools into a directional bias with false expectations of 100% accuracy.

- Even experienced traders do not get it right every single day.

- The secret: Wait for everything to align—the majority of tools, the market profile (trending, reversal, consolidation), and market structure concepts across your three chosen timeframes.

- ICT dynamically shifts between timeframes and profiles; while difficult to teach, the principle is to wait for the 'sweet spot' where price action aligns with your specific trading style.



Selecting a directional bias does not guarantee profitability or accuracy. Multiple traders can have opposing biases, both be correct and profitable, or both be wrong and still make money, or both lose money.

- There is no black and white in trading; you must enter the 'gray area' and be comfortable with less-than-perfect visibility.

- Trades will materialize that provide plenty of profit-taking potential, but never expect 100% accuracy.

- Essential Steps for Success:

  - Find your timeframe as a trader.

  - Determine the market structure given for that timeframe.

  - Trade within that respective market structure.

  - Perform your targeting on the highest and mid-level timeframes.

- Outcomes:

  - You will have more than enough trades.

  - Focus on consistently harvesting profits, keeping risk and action levels low.

- Control your trading to control emotions and keep expectations realistic, allowing you to live comfortably in the gray.